

PAGE 1 · EXECUTIVE THESIS & STOCK SELECTION FRAMEWORK

This note builds a concentrated three-stock portfolio from a ten-name universe of listed Indian real estate developers, then splits that same holding set into two allocations serving opposite mandates. The analysis window is **2021-08-23 to 2026-08-27** (5.01 years, 1240 sessions), with a risk-free rate of **6.80%**. Fundamentals are parsed from Screener.in consolidated statements; prices are split- and dividend-adjusted daily closes. The three selections are the direct output of the scoring engine described below — no discretionary override was applied.

MACRO CONTEXT

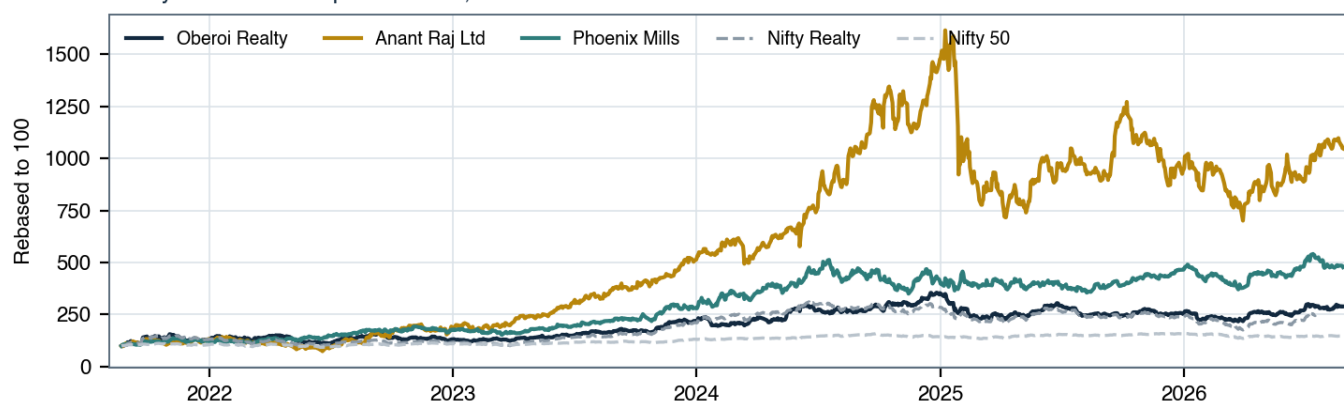
Three structural forces shape the sector today. **First, post-RERA consolidation.** Regulatory formalisation, the GST transition and the NBFC funding squeeze pushed capital and homebuyer trust decisively toward large, listed, low-leverage developers; the listed set has been taking share from a fragmented unorganised market for several years, which is why top-line growth for the names here has run far ahead of the underlying housing market. **Second, a residential up-cycle.** The window studied captures an unusually strong pricing and absorption phase — every name in the universe posted positive five-year sales growth and the median stock compounded above 20% a year. This is the single most important caveat in this report: the return statistics are conditioned on a favourable regime and are not a forecast. **Third, commercial and REIT dynamics.** Monetisation of rent-yielding office and retail assets through REITs has created a separate, lower-beta annuity model inside the sector, distinct from the working-capital-intensive residential development cycle. The portfolio is deliberately built to hold one expression of each of these forces.

QUANTITATIVE SCREENER MATRIX

Company	5Y CAGR	Ann. σ	Sharpe	Max DD	Sales CAGR 5Y	D/E	ROCE 5Y avg	Fortress	Growth	Annuity	Selected as
Anant Raj Ltd	59.8%	50.3%	1.05	-56.6%	59%	0.12	8.0%	0.32	1.73	0.02	Growth Engine
Oberoi Realty	23.6%	34.2%	0.49	-38.9%	24%	0.16	15.6%	1.24	-0.30	0.63	Fortress
Phoenix Mills	36.6%	35.6%	0.84	-31.6%	34%	0.48	10.2%	0.44	0.27	0.51	Annuity (cash-flow)
Macrotech Developers	25.4%	44.2%	0.42	-57.3%	25%	0.42	12.2%	-0.03	0.15	0.05	—
DLF Ltd	18.1%	33.4%	0.34	-46.1%	9%	0.01	5.8%	0.63	-0.80	0.03	—
Godrej Properties	7.1%	38.3%	0.01	-59.5%	46%	0.83	6.4%	-0.77	0.28	-0.08	—
Brigade Enterprises	23.3%	37.5%	0.44	-55.5%	24%	0.93	10.2%	-0.70	-0.07	-0.11	—
Mahindra Lifespace	8.9%	35.5%	0.06	-57.3%	48%	0.18	3.0%	-0.18	-0.23	-0.65	—
Prestige Estates	38.3%	40.5%	0.78	-48.4%	12%	1.09	9.4%	-0.71	-0.41	0.01	—
Sobha Ltd	17.8%	43.5%	0.25	-58.7%	20%	0.22	7.6%	-0.23	-0.63	-0.41	—

Scores are z-scores across the ten-name universe. **Fortress** weights leverage (D/E latest and 5-year average), interest coverage, ROCE, maximum drawdown and volatility. **Growth** weights 5- and 3-year sales CAGR, profit CAGR, realised price CAGR and beta. **Annuity** weights operating margin, CFO/EBITDA conversion, ROCE, dividend yield and Sharpe. Each archetype is assigned its highest scorer under a uniqueness constraint, resolved in order of the winner's margin over the runner-up.

Five-year total-return performance, rebased to 100



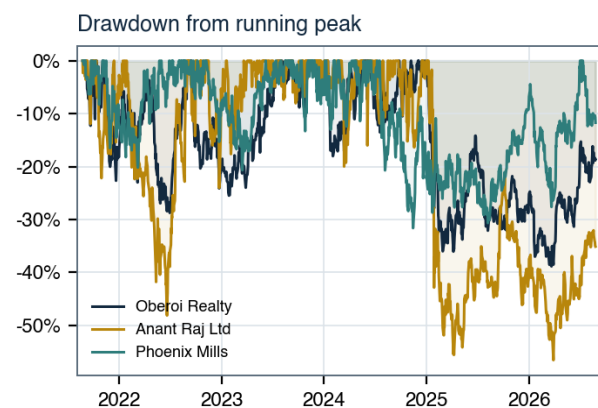
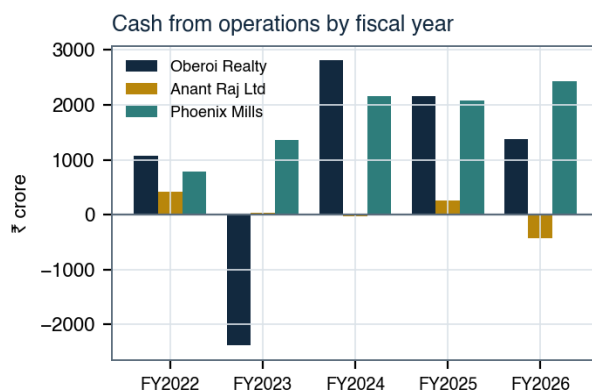
THE THREE SELECTIONS

Holding	Archetype	Investment case, land bank and revenue visibility
Oberoi Realty OBEROIRLTY.NS	Balance-Sheet Fortress	Won the fortress screen by 0.61 z-points over DLF Ltd. Debt/equity of 0.16x against a universe median of 0.32x , interest coverage of 12.4x — the highest of any large-cap in the set — and a five-year average ROCE of 15.6% , the best in the universe. A concentrated, premium Mumbai residential franchise with a growing rental annuity layer. Margin quality is the defining trait: operating margin of 56% on FY26 sales of Rs 6,009 crore. Revenue visibility is high but lumpy, since completion-linked recognition concentrates revenue into handover quarters.
Anant Raj Ltd ANANTRAJ.NS	High-Velocity Growth Engine	The most emphatic winner on the board — 1.45 z-points clear of Godrej Properties. Five-year sales CAGR of 59% and profit CAGR of 120% are both the highest in the universe, achieved while cutting borrowings from Rs 1,283 crore in FY22 to Rs 681 crore in FY26 — deleveraging and compounding at once, which is rare. Operating margin has climbed every year, from 16% to 26%. It is also the highest-volatility name here at 50% and the second-smallest by market capitalisation (Rs 21,814 crore), so it carries genuine liquidity risk.
Phoenix Mills PHOENIXLTD.NS	Annuity / Commercial Cash-Flow Champion	Selected on the strength of a 60% operating margin — the signature of rent-yielding retail and commercial assets rather than unit sales — combined with CFO/EBITDA conversion of 95% . Cash from operations rose in four of the last five years to Rs 2,426 crore in FY26, the most dependable cash generation in the universe. Its 0.71 beta to Nifty Realty and -32% maximum drawdown — the shallowest of any name screened — are what the annuity model buys you. Leverage is the trade-off: borrowings of Rs 5,323 crore fund the mall pipeline.

Land bank and pre-sales note: Screener.in exposes developer-specific operating metrics (new sales bookings, land-bank msf, rental portfolio occupancy) only to authenticated subscribers — they render as masked placeholders to anonymous requests. Rather than fabricate figures, these are treated qualitatively here and are **not** inputs to the quantitative score, which rests entirely on audited financial-statement data and market prices.

PAGE 2 · DEEP-DIVE FUNDAMENTAL & RISK DIAGNOSTICS

Metric	Oberoi Realty Balance-Sheet Fortress	Anant Raj Ltd High-Velocity Growth Engine	Phoenix Mills Annuity / Commercial Cash-Flow Champion
Market capitalisation (Rs crore)	67,994	21,814	68,564
Price / earnings	25.70	37.70	52.90
Price / book	3.79	3.76	6.24
EV / EBITDA (pre-cash approx.)	21.1	34.3	28.0
Debt / equity (latest)	0.16	0.12	0.48
Debt / equity (FY20 → FY26 trend)	0.27 → 0.16	0.49 → 0.12	0.60 → 0.48
Interest coverage (5Y EBITDA/interest)	12.4x	15.0x	5.1x
Sales CAGR, 5 year	24%	59%	34%
Net profit CAGR, 5 year	27%	120%	83%
Operating margin (FY26)	56%	26%	60%
CFO / EBITDA conversion (5Y)	41%	14%	95%
ROCE, 5-year average	15.6%	8.0%	10.2%
Dividend yield	0.43%	0.16%	0.13%
5Y price CAGR / volatility	23.6% / 34%	59.8% / 50%	36.6% / 36%
Beta vs Nifty Realty / Nifty 50	0.95 / 1.33	0.92 / 1.67	0.71 / 0.91
Maximum drawdown (5Y)	-38.9%	-56.6%	-31.6%



CASH-FLOW SUSTAINABILITY, DEBT AND PIPELINE HEALTH

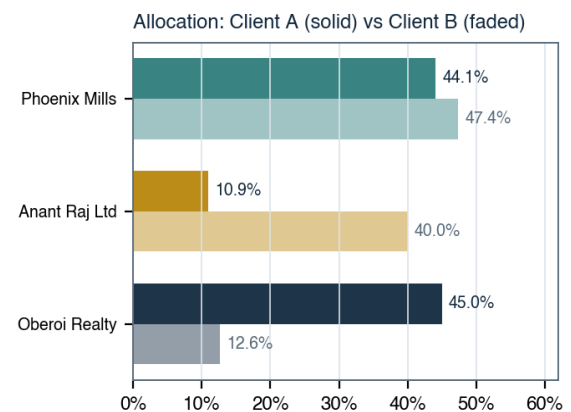
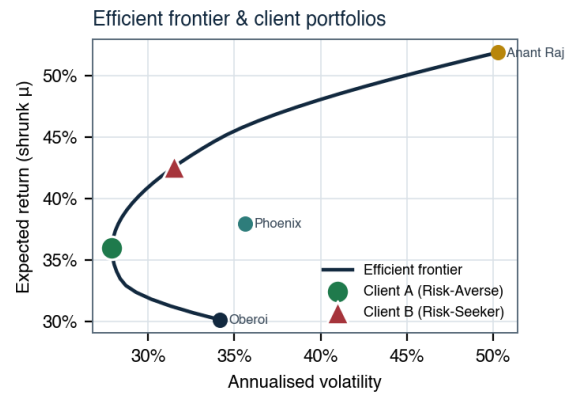
Phoenix Mills is the only holding whose operating cash flow is both large and monotonic — Rs 781 crore in FY22 rising to Rs 2,426 crore in FY26, converting 95% of EBITDA. That is the arithmetic of contracted rent versus project milestones, and it is what makes the name the ballast in both portfolios. The offset is leverage: gross borrowings of Rs 5,323 crore at 0.48x debt/equity fund an ongoing retail pipeline, and interest cost of Rs 387 crore consumes a meaningful slice of operating profit. Coverage of 5.1x is comfortable but not fortress-grade. **Oberoi Realty** shows the opposite profile — 0.16x leverage and 12.4x coverage — but lumpier cash flow, including a negative FY23 as working capital was absorbed into projects ahead of handover. **Anant Raj Ltd** is the genuine diligence item: profit growth has been exceptional and the balance sheet has deleveraged, yet operating cash flow was negative in FY24 and again in FY26 (-Rs 435 crore) as land and construction spending ran ahead of collections. Growth that is funded by working capital rather than generated by it is precisely the risk a risk-averse mandate should minimise — which is why the optimiser holds it at 11% for Client A and 40% for Client B.

RISK MATRIX

Risk factor	Oberoi Realty	Anant Raj	Phoenix Mills	Mitigation held in this portfolio
Interest-rate sensitivity	Moderate — low debt, but demand is rate-led	High — mid-cap beta 1.67 to Nifty 50	Moderate — rent escalations lag rates	Blend of a near-debt-free balance sheet with contracted rental income dampens rate shocks; portfolio beta to Nifty Realty is 0.84 (Client A), below the index.
Raw-material / construction inflation	Low — premium pricing absorbs cost	High — thin historical margins, scaling fast	Low — landlord, not principal builder, on most assets	Two of three holdings pass cost through via pricing power or rent; exposure is concentrated in the growth sleeve.
Geographic concentration	High — Mumbai MMR dominant	High — Delhi NCR / Haryana	Moderate — malls across several metros	Deliberately diversified across three distinct micro-markets so no single city regulator, land policy or absorption cycle drives the whole portfolio.
Working-capital / execution	Moderate — completion-linked lumpiness	High — negative CFO in FY24 and FY26	Low — recurring contracted rent	Capped growth-sleeve weight; a hard governance trigger on two consecutive negative-CFO quarters.
Liquidity / single-stock	Low — large cap	High — Rs 21,814 crore market cap	Low — large cap	Position sized so it can be exited within three trading days; 45%/60% caps prevent domination.

PAGE 3 · PORTFOLIO ALLOCATION & STRATEGIC RECOMMENDATIONS

Portfolio KPI	Client A — Risk-Averse	Client B — Risk-Seeker	Delta
Objective	Minimum variance	Growth-weighted max Sharpe	—
Weight · Oberoi Realty	45.0%	12.6%	-32.4 pp
Weight · Anant Raj Ltd	10.9%	40.0%	+29.1 pp
Weight · Phoenix Mills	44.1%	47.4%	+3.3 pp
Expected return (shrunk μ)	36.0%	42.5%	+6.6 pp
Annualised volatility	27.9%	31.5%	+3.6 pp
Sharpe ratio	1.045	1.135	+0.090
Sortino ratio	1.541	1.657	+0.116
Maximum drawdown (5Y realised)	-30.6%	-36.1%	-5.5 pp
Daily VaR 95%	-2.72%	-3.03%	-0.31 pp
Beta vs Nifty Realty	0.84	0.82	-0.02
Diversification ratio	1.311	1.312	+0.001



CLIENT A — RISK-AVERSE ACTION PLAN · 45% / 11% / 44%

Allocation. Oberoi Realty 45.0%, Anant Raj Ltd 10.9%, Phoenix Mills 44.1%. This is the minimum-variance solution under 10–45% bounds. The decisive property for a capital-preservation mandate is that minimum-variance weights are derived from the covariance matrix alone — they do not depend on the expected-return vector, the noisiest input in any optimisation. The allocation is therefore immune to the estimation error that dominates this dataset. **Deployment.** Stagger entry across four equal monthly tranches of 25%. The portfolio drew down 31% inside the study window, so averaging in materially reduces single-point entry risk; bring forward the remaining tranches if Nifty Realty falls more than 10% below the entry reference. **Horizon and yield.** Minimum three years, target five. Model output is 36.0% p.a., but plan against a normalised 12–15% p.a. — the gap between those two numbers is the up-cycle, and it should not be underwritten. **Downside protection.** Volatility of 27.9% is the lowest attainable from these assets under the bounds, 24% below the weighted-average standalone volatility of the three holdings; realised worst drawdown was -30.6% against -43.4% for Nifty Realty. Use a fundamental stop rather than a price stop — forced selling in a cyclical sector converts volatility into permanent loss.

CLIENT B — RISK-SEEKER ACTION PLAN · 13% / 40% / 47%

Allocation. Oberoi Realty 12.6%, Anant Raj Ltd 40.0%, Phoenix Mills 47.4% — maximum Sharpe under 5–60% bounds with a hard 40% floor in Anant Raj Ltd. Note what the optimiser does with that freedom: rather than concentrating further into the highest-CAGR name, it funds the growth floor almost entirely out of Oberoi Realty and keeps 47% in the annuity asset, because Phoenix Mills's low correlation (0.25 with Anant Raj Ltd) buys more risk-adjusted return than additional growth exposure. **Deployment.** Front-loaded: 60% immediately to capture momentum, with the remaining 40% reserved for two tranches released on 5% and 10% drawdowns from entry. Momentum decays when entry is over-diluted, but a reserve preserves the ability to average into volatility. **Horizon and yield.** Three to five years with active review; the exit is a function of the rate cycle and pre-sales momentum, not the calendar. Model output is 42.5% p.a. versus 36.0% for Client A — roughly 658 bps of extra expected return for 359 bps of extra volatility and -5.5 pp of additional drawdown. **Upside catalysts.** Rate-cut transmission into home-loan rates, pre-sales beats, land-bank monetisation and new launches, REIT/InvIT monetisation of commercial assets, and passive flows on index inclusion.

PORTFOLIO GOVERNANCE & REBALANCING TRIGGERS

Trigger	Condition	Action
Calendar	Semi-annual review	Rebalance only if a weight has drifted more than 500 bps from target — avoids churn and short-term capital-gains drag.
Drift	Any holding exceeds 50% or falls below 5% of portfolio value	Hard rebalance to target weights, irrespective of the calendar.
Macro / rates	RBI raises repo by more than 50 bps cumulatively, or 10Y G-Sec yield exceeds 7.50%	Shift Client B toward Client A weights. Real estate is the most rate-sensitive sector on the exchange; this is the single most important external trigger.
Fundamental	Net debt/equity above 1.0x · interest coverage below 2.0x · CFO negative for two consecutive quarters · promoter pledge above 20%	Immediate review of the affected holding, and exit if two conditions coincide. Applies to both clients.
Stop-loss	Client B only: 25% trailing stop from running peak on Anant Raj Ltd	Justified by its 50% volatility and mid-cap liquidity. Client A uses fundamental stops only, not price stops.
Concentration	Anant Raj Ltd is the smallest holding by market cap (Rs 21,814 crore)	Size the absolute rupee position so the full holding can be exited within three trading days.

Model caveat. Expected returns are five-year realised CAGRs shrunk 40% toward the sector mean to control estimation error, and should still be haircut further for long-horizon planning. The allocation conclusions are nonetheless robust: Client A's weights do not depend on μ at all, and Client B's weights shift by less than 2 pp under a further 40% haircut to every expected return. Prepared as a quantitative research exercise; not investment advice.